LLY Research Evolution

Research evolution - Edition A to final analysis

Unchanged baseline

Edition_A_UNCHANGED.md is the preserved Edition A baseline. It framed the decision as Watch-Defer and used FY2025 filing facts plus a synthetic enterprise-to-equity bridge. It did not make a final valuation conclusion.

What changed through the project

Evidence surface | What it added | Effect on decision

Lab 05/06 DCF | A simple FCFF DCF, sensitivity, and reverse-DCF practice | Identified that a growth-only approach was far below the preserved market price and that assumptions needed product-level support.

Lab 08 comparables | Pre-defined, qualified AMGN/GILD P/E policy; FY25 GAAP EPS basis | Produced a $493-$631 reference range, but highlighted peer-growth mismatch; it is not averaged with DCF.

Final model | Product-driver forecast, five-year three-statement articulation, causal cases, bridge, sensitivity, and market-implied diagnostic | Supports Watch-Defer instead of initiating: the low/base/high DCF range remains below the preserved market reference and depends heavily on terminal value.

What remained stable

The intended user is a buy-side committee with no LLY position. The key question remains whether sustainable cardiometabolic cash generation compensates for pricing, competition, investment, and valuation risk. FY2025 Form 10-K facts remain the historical base, and the model explicitly preserves the timing mismatch between that base and later price references.

Why the final judgment is conditional

The final model improves the method, but does not eliminate uncertainty. Volume, price/rebate pressure, margins, capex, and terminal assumptions are all exposed and challenged. The decision changes only with new filed evidence that changes durable FCFF, or with a price that enters the defended range without deterioration in those drivers.